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ADVANCED ENTERPRISE RESOURCE PLANNING (ERP)

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Report: ERP implementation system on Hayleys PLC
Sector: Manufacturing



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Introduction

Enterprise Resource Planning (ERP) systems bring key business functions such as finance, procurement, manufacturing, human resources and supply chain management together into one system. This report looks at the business operations and information systems of Hayleys PLC, a large diversified organisation operating in Sri Lanka.

The report examines Hayleys' organisational structure, major business processes and information systems. We then proposes a suitable ERP solution architecture and identifies the ERP modules needed to support its business activities and improve integration between different functional areas.

1 Organization Analysis

1.1 History and Background

Hayleys PLC is one of Sri Lanka's leading diversified business groups, and its history goes back to 1878. It was founded in Galle by Chas. P. Hayley as a trading business that imported goods and exported Sri Lankan products such as spices, coir yarn and essential oils. This was the start of the Hayleys Group.

Over the years, Hayleys moved beyond its original trading activities into manufacturing, agriculture, plantations, logistics and other industries. Some key milestones were becoming a public company in 1954, setting up its shipping agency in 1958, starting activated carbon manufacturing through Haycarb in 1973, and entering rubber glove manufacturing through Dipped Products in 1976. The Group kept growing through acquisitions and investments in different industries and international markets.

Today, Hayleys is a highly diversified Sri Lankan conglomerate with operations across many industries and international markets. In 2024/25, the Group reported 38,029 employees and revenue of about Rs. 492 billion. Because of its long history of diversification and growing complexity, Hayleys is a suitable organisation for analysing business processes and the role of an integrated ERP system.

1.2 Main Business Activities

Hayleys PLC is a diversified Sri Lankan business group that operates across many industries. The Group runs through 16 business sectors, including **manufacturing, agriculture, plantations, consumer and retail, transportation and logistics, energy, construction, BPO and investments.**

Manufacturing is one of its biggest areas. The Group makes products such as textiles, hand protection products, purification products and construction materials for local and international markets. It is also involved in agriculture, plantations and tea exports, where it supports farming communities and produces goods for export.

In consumer and retail, Hayleys deals in consumer durables and FMCG distribution. Its transportation and logistics businesses offer freight management, integrated logistics, marine and energy services, and travel and aviation solutions. The Group also operates in power and energy,

construction and engineering, leisure, industrial inputs, BPO, and investment and support services.

All of these activities involve a large number of employees, suppliers, customers, inventories, financial transactions and processes. Because of this, coordinating information and processes across the different business areas is very important for Hayleys, and it gives a strong reason to consider an integrated ERP solution.

1.3 Products and Services

Hayleys PLC offers a wide range of products and services through its diversified businesses. Its products include textiles and hand protection products, activated carbon and purification products, tea and agricultural products, rubber products, coir-based products, consumer goods and construction-related products. These are supplied to both local and international markets.

Besides making products, Hayleys also provides services through several business areas. These include transportation and logistics, freight management, travel and aviation, power and energy solutions, construction and engineering, leisure and hospitality, business process outsourcing, and other specialised services. The Group also offers consumer and retail distribution services through its businesses.

This wide range lets Hayleys serve customers in many industries and markets. Managing it all means coordinating procurement, production, inventory, sales, finance, human resources and supply chain activities, which shows why integrated information systems matter for the organisation.

1.4 Number of Employees

Hayleys PLC is one of the largest private-sector employers in Sri Lanka. According to the Hayleys Annual Report 2024/25, the Group had 38,029 employees at the end of the financial year, up from 36,266 employees the year before.

This large workforce is spread across Hayleys' different business sectors and its local and overseas operations. Managing so many people needs strong human resource management, including payroll, employee records, training and performance management. An integrated Human Resource Management System (HRMS) within an ERP can help Hayleys handle all of this employee information more easily.

1.5 Annual Revenue / Business Scale

Hayleys PLC operates on a large scale across many industries and international markets. According to the Hayleys Annual Report 2024/25, the Group recorded **consolidated revenue of Rs. 492.20 billion**, a **13% increase** from the previous financial year. This was the highest revenue in the Group's operating history.

The Group also reported **Profit Before Tax of Rs. 35.37 billion** and **total assets of about Rs. 510.69 billion** in 2024/25. Export revenue made up **53% of total revenue**, which shows how important Hayleys' international business is.

With such a large revenue base, extensive assets, many business sectors and international operations, Hayleys clearly works on a big scale. Managing an organisation this large and diversified needs good coordination of finance, procurement, inventory, manufacturing, sales, human resources and supply chain activities, which makes an integrated ERP system even more important.

1.6 Branches, Factories and Facilities

Hayleys PLC has a large network of factories, facilities, branches and other locations that support its many business activities. According to the Hayleys Annual Report 2024/25, the Group had a manufacturing footprint of **95 facilities** across Sri Lanka, Thailand, Indonesia, India and Bangladesh.

In Sri Lanka, these facilities include manufacturing plants, plantations and factories, warehouses, distribution centres, hotels and energy facilities. For example, the Group runs **49 plantation factories**, 12 Eco Solutions manufacturing facilities, 5 Hand Protection manufacturing facilities, 3 Textile manufacturing facilities and 13 Agriculture manufacturing facilities in Sri Lanka.

Hayleys also has customer-facing networks across the country. Its Consumer & Retail sector has an island-wide network of **405 Singer outlets and 56 Singer Finance branches.** Through its Transportation & Logistics sector, the Group also operates Sri Lanka's largest mega distribution centre, along with warehouses, vessels and other logistics facilities.

The large number and wide spread of these facilities make it more complex to manage procurement, production, inventory, distribution, finance and human resources. An integrated ERP system can help Hayleys coordinate information and business activities across its locations and business sectors.

1.7 Geographic Presence

Hayleys PLC has a strong presence in Sri Lanka and a wide international footprint. Sri Lanka is the Group's home market, where its head office and many of its manufacturing and operational facilities are located. The Group also has an island-wide presence through businesses such as consumer retail, logistics, agriculture and other services.

Internationally, Hayleys operates in **more than 20 countries** and has a market presence in **over 80 countries** across Asia, Europe, Africa, Australia and North America. Its international operations include manufacturing facilities, marketing offices, distribution operations and service businesses.

Key international locations include **Australia, Bangladesh, India, Indonesia, Italy, France, Poland, Thailand, the United Kingdom, the United States, Kenya, Japan, Singapore, the Maldives and the Philippines,** among others. These operations support Hayleys' global supply chains and international markets.

This wide spread creates a complex operating environment with different locations, employees, suppliers, customers, currencies and supply chains. Integrated ERP systems can help the Group coordinate information and business processes across its local and overseas operations.

1.8 Major Stakeholders

Hayleys PLC has a wide range of stakeholders who influence or are affected by its business activities. The major groups include **shareholders and investors, employees, customers, suppliers and business partners, government, lenders, and local communities.** Hayleys engages with these groups to understand what they expect and uses their feedback in its business and strategic decisions.

Shareholders and investors are important because they provide capital and expect sustainable returns and clear information. Employees bring their skills and knowledge to the Group's operations, while customers generate revenue and give feedback that helps with product development and business decisions. In 2024/25, Hayleys had **38,029 employees** and served about **1.6 million customers.**

Suppliers and business partners support Hayleys' manufacturing and supply chain activities. The government matters through regulation, taxation, employment and its economic contribution. Local communities are also important because many Hayleys operations work closely with the communities around them through employment and community development projects.

Managing information and relationships across all these groups needs accurate and timely information. An integrated ERP system can help by connecting finance, procurement, human resources, inventory, sales and supply chain management.

1.9 Key Departments and Functional Areas

Hayleys PLC runs through many departments and functional areas to manage its diversified businesses. The key areas include **Finance and Accounting, Human Resources, Procurement, Supply Chain Management, Manufacturing and Operations, Sales and Marketing, Information Technology, and Research and Development.**

Finance and Accounting handles financial transactions, budgeting, reporting and financial control. Human Resources looks after recruitment, employee development, payroll and performance management. Procurement and Supply Chain Management coordinate the buying of materials, suppliers, logistics and distribution. Manufacturing and Operations are responsible for production and operational efficiency, while Sales and Marketing focus on customers, sales and market development.

The Information Technology function supports digital systems, data management and technology infrastructure across the Group. Hayleys also treats digital transformation and IT governance as part of its corporate strategy. Research and Development supports innovation and new product development, and the Group reported investment in R&D and new products in its 2024/25 reporting.

These functional areas are closely linked. For example, procurement needs to work with inventory and finance, while manufacturing depends on procurement, supply chain and sales information. Integrating these functions through an ERP system can improve information sharing, reduce duplication and support better decision-making across Hayleys.

1.10 Why Hayleys Needs an Integrated ERP System

Hayleys PLC operates across many business sectors, with a large workforce, extensive facilities and operations in both Sri Lanka and international markets. This creates a complex environment where a lot of information is generated through finance, procurement, manufacturing, inventory, sales, human resources and supply chain activities. An integrated ERP system can connect these functions through one central system and improve how information flows across the organisation.

One key reason Hayleys needs an ERP system is to **i**ntegrate its different business processes. For example, information about buying raw materials can be linked with inventory, finance and manufacturing. In the same way, sales information can be connected with inventory, distribution and financial records. This reduces duplicate data entry and helps departments get accurate, up-to-date information.

An ERP system can also improve inventory and supply chain management across Hayleys' large network of factories, warehouses and other facilities. Real-time information on stock levels, purchases, production and distribution can help the Group coordinate its operations better and reduce delays and unnecessary stock.

ERP integration can also improve financial management and decision-making by bringing information from different business areas into one system. Management can use consolidated reports to monitor performance, spot operational problems and make better decisions. ERP can also support human resource management by bringing employee records, payroll and other HR activities together.

Overall, Hayleys' large scale, diversified operations and geographical spread make integration between business functions more and more important. A suitable ERP system can improve information sharing, process coordination, operational efficiency and management decision-making across the organisation.

2 Business Process

2.1 Procurement Process

The procurement process at Hayleys involves identifying the materials, products and services needed for its different businesses and getting them from suitable suppliers. Depending on the business sector, these needs may include raw materials for manufacturing, agricultural inputs, packaging materials, equipment and other services.

The process usually starts when a department identifies a requirement. A purchase request is prepared, and suppliers are found and compared based on things like price, quality, reliability and delivery needs. Once a supplier is chosen, a purchase order is issued and the goods or services are received and checked.

The received items are recorded and, where relevant, added to inventory. The finance department then processes the supplier invoice and payment. This shows that procurement is closely linked with **inventory, finance, suppliers and the operational departments.**

An integrated ERP system can connect all these steps and give departments up-to-date information on purchase orders, suppliers, inventory levels, receipts and payments. This can make purchasing more efficient, reduce duplicate data entry and give better control over procurement.

2.2 Inventory Management Process

Inventory management is an important operational process for Hayleys because its manufacturing, agriculture, retail and other businesses need materials and products to be managed well. Inventory may include raw materials, work-in-progress and finished goods.

The process starts when materials are received from suppliers or products are completed through production. The items are checked, recorded and stored in the right warehouse or storage location. Inventory levels are then monitored to make sure there are enough materials for production and enough finished products to meet customer needs.

Inventory management involves many functions because it is linked with procurement, production, sales, finance and logistics. For example, purchasing affects the stock available, production uses up raw materials, and sales and distribution reduce finished-goods inventory.

In an ERP system, material master data holds the key information needed for purchasing, production and inventory management. When this data is centralised, it can be shared across departments, which reduces repeated data entry and keeps information consistent.

An integrated ERP system can therefore connect Hayleys' inventory activities with procurement, production, sales and finance, giving consistent information and better coordination between business functions.

2.3 Production / Manufacturing Process

The production process at Hayleys involves turning raw materials into finished products based on production needs and customer demand. Depending on the business sector, this may involve different manufacturing activities and production facilities.

The process starts with production planning, where the materials, quantities and production schedules are decided. The availability of raw materials and other resources is checked before production begins. Materials are then issued from inventory to the production area, where they are processed and made into finished products.

After production, the finished products are inspected and moved to the right storage or distribution facility. Information about production quantities, material use and finished goods is recorded so that inventory, finance and sales can use it.

Production involves many functions because it depends on information from material planning, procurement, inventory, sales and finance. An integrated ERP system can connect these functions, give updated information on materials and production, and help Hayleys coordinate its production more efficiently.

2.4 Sales and Order Fulfilment Process

The sales and order fulfilment process at Hayleys involves receiving customer orders, checking product availability, processing the order and delivering the products to customers. This process links the sales function with inventory, production, finance and distribution.

The process starts when a customer places an order. The required products are checked against current inventory. If there is enough stock, the order is processed and the products are prepared for delivery. If there is not enough stock, production or replenishment may be needed before the order can be filled.

Once the products are ready, they are dispatched to the customer and the sales and financial information is recorded. This needs coordination between sales, inventory, production, warehouse, logistics and finance.

An integrated ERP system can give real-time information on customer orders, stock availability and delivery status, which helps Hayleys manage order fulfilment more effectively. Fulfilment can also be understood as the activities involved in selling and delivering products to customers.

2.5 Distribution and Logistics Process

The distribution and logistics process at Hayleys involves moving raw materials, finished products and other goods between suppliers, manufacturing facilities, warehouses and customers. This process is important for coordinating the flow of goods across Hayleys' different businesses and locations.

The process includes activities such as transportation, warehousing, shipment planning, loading and delivery. After finished products are ready, they are stored at the right location and transported to customers or other destinations based on delivery needs.

Distribution and logistics involves many functions because it depends on information from inventory, sales, production, procurement and finance. Accurate information on stock availability, customer orders and delivery needs helps coordinate the movement of goods.

An integrated ERP system can connect logistics with inventory, sales, procurement and production, giving updated information on stock, orders and deliveries. This can help Hayleys improve coordination and visibility across its supply chain. Logistics is also an operational business process, and ERP integrates processes across different functional areas.

2.6 Financial Management Process

The financial management process at Hayleys involves managing the financial activities that come from its different business operations. This includes accounting, budgeting, financial reporting, billing, invoicing, accounts payable and accounts receivable. These are key financial processes.

The process starts when financial transactions are created through activities such as buying materials, selling products, paying suppliers and receiving customer payments. These transactions are recorded and processed to keep accurate financial records. The financial information is then used to prepare reports and monitor the organisation's financial performance.

Financial management is closely linked with other business processes. For example, procurement creates supplier-related financial transactions, while sales and order fulfilment generate customer invoices and receivables. Production and inventory activities also affect costs and the value of resources.

An integrated ERP system can connect Financial Accounting (FI) with procurement, inventory, production and sales. This allows the financial impact of business transactions to be recorded and shared across functions. Financial accounting (FI) is used for external reporting, while management accounting or controlling (CO) is used for internal reporting of costs and revenues.

2.7 Human Resource Management Process

The human resource management process at Hayleys involves managing employees throughout their time with the company. Key activities include recruitment, hiring, training, employee development, payroll and benefits management. These activities help the organisation manage its large workforce effectively.

The process starts with identifying workforce needs and recruiting suitable people. After employees are hired, their personal and employment information is maintained, while training and development support their skills and performance. Payroll, benefits and other employee-related activities are also handled as part of the HR process.

Human resource management is linked with other business functions because employee costs affect financial management, while workforce needs are tied to production, operations and business planning. Keeping employee information consistent is especially important for a large organisation like Hayleys.

An integrated ERP system with a Human Capital Management (HCM/HRMS) function can centralise employee information and connect HR activities with finance and other business functions. This can improve information sharing and make employee management more efficient. HCM processes commonly include recruiting, hiring, training and benefits management.

2.8 Quality Management Process

Quality management is the process of making sure products and services meet the required quality standards. For a diversified organisation like Hayleys, this is especially relevant to its manufacturing and other operations.

The process involves checking materials, monitoring production, inspecting finished products and identifying quality problems. If a problem is found, corrective action can be taken before the product reaches the customer.

Quality management is linked with procurement, production, inventory and sales. For example, the quality of purchased raw materials can affect production, while the quality of finished products affects customer satisfaction.

2.9 Customer Relationship Management Process

Customer Relationship Management (CRM) is the process of managing interactions with customers and keeping good relationships with them. For a diversified organisation like Hayleys, CRM is important for managing customer needs and improving customer satisfaction.

The process includes collecting customer information, handling customer inquiries, managing customer orders, providing services, and responding to customer feedback or complaints. Information about customers can be used to understand what they need and to improve services.

CRM is linked with sales, order fulfilment, distribution and customer service. For example, customer orders and service information can help the sales and distribution functions deliver the required products or services on time.

3. Current Information Systems Analysis

3.1 Transaction Processing System (TPS)

A Transaction Processing System (TPS) is used to record and process an organisation's routine transactions. For a large organisation like Hayleys, a TPS can support daily activities such as **sales transactions, purchase orders, goods receipts, inventory updates, invoices and payments.**

For example, when a purchase is made, the transaction can be recorded from the purchase order through to goods receipt and invoice processing. In the same way, customer sales can be recorded and linked with inventory and financial information.

A TPS provides the basic transaction data that other information systems such as MIS and DSS need. In an ERP environment, these transactions can be stored in a central database, which lets information flow between different business functions.

3.2 Management Information System (MIS)

A Management Information System (MIS) gives managers useful information to monitor business activities and support their decisions. For a large organisation like Hayleys, an MIS can collect information from different business functions and present it in useful reports.

For example, managers can use MIS reports to monitor **sales performance, inventory levels, production performance, purchasing activities and financial information.** This helps them understand how different areas of the organisation are performing at the moment.

An MIS can receive data from a TPS and other business systems and turn it into meaningful management information. In an integrated ERP environment, information from different departments can be shared through one central system, which supports real-time information flow and management reporting.

3.3 Decision Support System (DSS)

A Decision Support System (DSS) helps managers analyse information and support their decision-making. For a large and diversified organisation like Hayleys, a DSS can support decisions about business performance, production, inventory, sales and resource planning.

For example, managers can analyse sales trends, inventory levels, production needs and financial performance to spot problems and make informed decisions.

3.4 Customer Relationship Management (CRM)

Customer Relationship Management (CRM) systems help Hayleys manage customer information, interactions, orders, services and feedback.

A CRM can support sales, customer service and order fulfilment by giving employees customer-related information. It can also help the organisation understand what customers need and improve customer relationships.

A CRM can be integrated with an ERP system to connect customer information with other business functions such as sales, inventory and finance. CRM is also commonly treated as an ERP-related module.

3.5 Human Resource Management System (HRMS)

An HRMS supports the management of employee information, recruitment, training, payroll and other employee-related activities.

For Hayleys, an HRMS can help manage employee records and support HR activities across its large workforce. It can also connect HR information with finance and other business functions.

An integrated ERP system can provide a centralised system for managing HR information and improving the flow of information between HR and other departments.

3.6 Accounting / Financial Information System

An Accounting or Financial Information System supports accounting, budgeting, financial reporting, billing, invoicing, accounts payable and accounts receivable.

For Hayleys, it can manage financial transactions related to purchases, sales, supplier payments and customer receipts. It can also provide financial information for management reporting.

When it is integrated with an ERP system, financial information is connected with procurement, inventory, production and sales, so financial data can flow between business functions.

3.7 Inventory Management System

An Inventory Management System helps manage inventory levels, stock movements and material information.

For Hayleys, it can support the management of raw materials, work-in-progress and finished goods across its businesses. It can also help monitor stock that is received, stored and issued.

When it is integrated with an ERP system, inventory information can be connected with procurement, production, sales and finance, giving consistent and up-to-date information across departments.

4. ERP Solution Design

4.1 ERP Solution Architecture

A suitable ERP architecture for Hayleys can follow a three-tier client-server structure made up of the Presentation Layer, Application Layer and Database Layer.

- **Presentation Layer:** Provides the user interface through web browsers, desktop applications or mobile applications. Employees from different departments can use the ERP system through this layer.
- **Application Layer:** Processes business transactions, business logic and workflows, and connects the different ERP modules.
- **Database Layer:** Stores master data, transaction data, configuration data and other ERP information. It allows data to be stored and retrieved securely and efficiently.

This architecture lets Hayleys connect its major business functions through a centralised ERP system, so information can flow between departments and data silos are reduced.

4.2 ERP Modules Required

For Hayleys, the proposed ERP system should include the following key modules:

ERP Module	Purpose
Financial Accounting (FI)	Manages accounting, financial transactions and reporting.
Controlling (CO)	Supports internal cost and management accounting.
Materials Management (MM)	Manages purchasing, materials and inventory activities.
Production Planning (PP)	Supports production planning and manufacturing activities.
Sales and Distribution (SD)	Manages sales orders, deliveries and distribution.
Human Capital Management (HCM)	Manages employee and HR activities.
Quality Management (QM)	Supports quality related activities and quality control.
Warehouse Management (WM)	Manages warehouse and stock-related activities.
Customer Relationship Management (CRM)	Manages customer related activities and relationships.
Supply Chain Management (SCM)	Supports coordination of supply chain activities.

4.3 Purpose of Each ERP Module

- **Financial Accounting (FI):** Manages financial transactions, accounting records and financial reporting.
- **Controlling (CO):** Supports internal management accounting, including monitoring costs and revenues.
- **Materials Management (MM):** Manages purchasing, material requirements, goods receipts and inventory.

- **Production Planning (PP):** Supports production planning and the coordination of manufacturing activities.
- **Sales and Distribution (SD):** Manages customer orders, deliveries, billing and distribution.
- **Human Capital Management (HCM):** Manages employee information and HR activities such as recruitment, training and payroll.
- **Quality Management (QM):** Supports quality inspection and other quality-related activities.
- **Warehouse Management (WM):** Supports warehouse operations and stock movements.
- **Customer Relationship Management (CRM):** Manages customer information, interactions and other customer-related activities.
- **Supply Chain Management (SCM):** Supports the coordination of supply chain activities across the organisation.

5. Conclusion

Hayleys PLC's large and diversified operations need its business processes and information to be well integrated. An ERP system can bring together areas such as finance, procurement, inventory, production, sales, HR and supply chain management through one centralised system.

The proposed ERP solution can improve information sharing, process integration, operational visibility and management decision-making across the organisation. An integrated ERP architecture with suitable modules can therefore help Hayleys manage its complex operations more effectively.